

Health Over Hardware

S&P -0.50% as a second-session semiconductor de-rating overwhelms an Abbott-led healthcare surge. TSMC's record quarter couldn't hold the chips. Dividend Strategy $+1.19\%$; Growth Portfolio -3.04% .

THE SESSION

The tape divided cleanly along the fault line we have been watching all week. The S&P 500 closed -0.50% and the Nasdaq -1.45% as a second consecutive de-rating of the artificial-intelligence hardware complex overwhelmed the broader market, while the Dow held modestly green. Beneath the index, the day was less a decline than a rotation — capital leaving semiconductors and moving into healthcare, staples and defensives.

The chip story set the tone before the open. Taiwan Semiconductor reported roughly 77% earnings growth and raised its 2026 capital-spending plan to \$60–\$64 billion, adding a further Arizona commitment — and still the shares gave back more than 4%. A dominant print that clears every estimate and is met with selling is the market telling you expectations, not results, are the problem. The reaction rippled outward: SK Hynix fell about 11%, Korea's KOSPI slid more than 6%, and memory names Sandisk and Western Digital led U.S. declines, with the semiconductor index off roughly 3–4%. The macro backdrop offered little offset — June retail sales rose an in-line 0.2%, jobless claims eased to 208,000 and regional manufacturing surveys firmed, but a fifth straight night of U.S. strikes on Iran kept oil and Treasury yields elevated.

The other side of the trade belonged to us. A wave of healthcare earnings redirected the flows: Abbott jumped to the top of the S&P leaderboard on a Q2 beat and a raised full-year outlook, and UnitedHealth's decisive beat carried the Dow. The rotation split our two sleeves almost to the decimal it was designed to. The Dividend Strategy — anchored in healthcare, staples and financials and largely free of AI-hardware exposure — gained $+1.19\%$, edging past a flat-to-lower SPY (-0.52%) while trailing a strong DVY ($+1.70\%$). The Growth Portfolio's semiconductor

and digital-asset weighting absorbed the session's pressure, closing -3.04% against IUSG's -1.69% .

FCI Tactical: A day like this is the barbell working exactly as intended — one sleeve leans into growth, the other into durable cash flows, and rotation moves the weight between them without breaking the frame. We own businesses, not the tape. A single session of profit-taking in names up triple digits for the year is the market catching its breath, not a thesis unwinding.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

ABT $+10.71\%$ DIVIDEND STRATEGY

Abbott topped the S&P on a Q2 beat — adjusted EPS \$1.31 against \$1.28 consensus — with full-year guidance raised to \$5.45–\$5.60 and diagnostics up 42% on the Exact Sciences integration.

SYK $+4.66\%$ DIVIDEND STRATEGY

Stryker rode the broad medical-technology bid as healthcare led the rotation, the sector gaining roughly 2% on the day.

GPC $+3.85\%$ DIVIDEND STRATEGY

Genuine Parts advanced as defensive, cash-generative industrials drew flows out of high-beta technology.

DGX $+3.79\%$ DIVIDEND STRATEGY

Quest Diagnostics extended with the diagnostics complex on Abbott's read-through and continued healthcare strength.

ADP $+3.67\%$ DIVIDEND STRATEGY

Automatic Data Processing gained as steady, recurring-revenue payroll names caught the defensive rotation.

SPGI $+2.90\%$ DIVIDEND STRATEGY

S&P Global continued its bid as ratings-and-data franchises held firm alongside financials.

DECLINERS

HUT -10.79% GROWTH PORTFOLIO

Hut 8 led the bitcoin miners lower as digital assets sold off with risk, bitcoin easing toward \$64,000.

MRVL -8.71% GROWTH PORTFOLIO

Marvell extended Wednesday's slide as custom-silicon and AI-optical names bore the brunt of the second-session chip de-rating.

HOOD -8.24% GROWTH PORTFOLIO

Robinhood fell as the risk-off tone and softer crypto tape pressured the digital broker.

CRDO -8.16% GROWTH PORTFOLIO

Credo dropped with the AI-connectivity cohort as the semiconductor index gave back roughly 3–4%.

AMD -5.33% GROWTH PORTFOLIO

AMD was swept into the broad AI-chip selling despite no company-specific news.

VST -4.79%

GROWTH PORTFOLIO

Vistra gave back as the AI-power complex retraced alongside the hardware trade it is levered to.

HOLDINGS NEWS

Abbott (ABT) — Q2 beat and raised guidance. Adjusted EPS of \$1.31 topped the \$1.28 consensus on revenue of \$12.59 billion, up 13% reported. Management raised full-year adjusted EPS guidance to \$5.45–\$5.60 and reaffirmed comparable sales growth of 6.5–7.5%. Diagnostics rose 42.3% on a reported basis, lifted by the Exact Sciences acquisition and mid-teens Cologuard growth, while medical devices grew 9%. Management also flagged no expected downside from procedure-volume softness — a direct rebuttal to recent hospital-operator caution.

Taiwan Semiconductor (TSM) — strong quarter, weak reaction. TSMC posted its fifth straight record quarter with roughly 77% earnings growth and lifted its 2026 capital-spending outlook, yet the shares closed -2.32% and set the tone for the sector. The pattern — a dominant print sold rather than bought — mirrors the earlier reaction to ASML and signals how demanding the bar has become for AI-linked names.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

✓ BEAT ONE

+1.19%

vs. DVY +1.70% | SPY -0.52%

GROWTH PORTFOLIO

✗ TRAIL

-3.04%

vs. IUSG -1.69%

YEAR-TO-DATE

Dividend +17.88% vs DVY +16.82% / SPY +10.70%

Growth +14.28% vs IUSG +11.13%